

The Housing Intelligence Model

A plain-language overview for community members, and a technical reference for housing policy professionals — explaining how lower verified rent can permanently reduce cost, instead of producing a one-time check.

In One Sentence

Instead of giving a landlord a tax rebate for lowering rent — money that gets spent once and is gone — this model pays that benefit directly toward the landlord's mortgage principal, permanently lowering their real cost of owning the property, so the lower rent can be sustained without needing a new subsidy every single year.

Why This Is Different From a Typical Rent Rebate Program

Most rent-incentive programs work the same way: the government hands a landlord a check or a tax credit for charging less rent. That money gets spent or saved by the landlord like any other income, and next year, if the program runs out of budget or the landlord's circumstances change, the lower rent often disappears. The tenant's affordability was never actually secured — it was rented, one year at a time, by the public.

This model changes where the money goes. Instead of cash to the landlord, the benefit is paid directly to the landlord's mortgage servicer as a principal curtailment — the same kind of payment any borrower can already make today to pay down their loan faster. This permanently reduces what the landlord owes, which permanently reduces their monthly payment, which permanently lowers the rent they need to charge just to break even.

The Five Layers of the System

- 1. Verified Rent Reduction** — the landlord and tenant both certify a real, lower rent, benchmarked against the household's income tier (Area Median Income, by county)
- 2. Mortgage-Aware Sizing** — the benefit is calculated from the landlord's actual loan balance, interest rate, and real profit margin, not a flat number that ignores their cost structure
- 3. Principal Curtailment** — the sized benefit is paid to the landlord's mortgage servicer as a one-time or recurring paydown, not cash to the landlord
- 4. Deed-Recorded Covenant** — the affordability commitment is recorded against the property itself, so it survives a future sale, and a new buyer can choose to renew it for their own curtailment
- 5. District-Level Impact Tracking** — total principal extinguished, units preserved, and units renewed are tracked by community, so the public can see a real, traceable result instead of an abstract budget line

How It Works — Plain Language

Imagine a landlord owns a rental property with a \$250,000 mortgage. Their actual monthly cost — mortgage payment, property tax, insurance, maintenance — comes out to about \$2,110 a month. That is their breakeven point: charge less than that, and they lose money every month.

Right now they charge \$2,600 a month, which gives them roughly \$490 a month in profit. If they agree to lower the rent to \$2,300, they are giving up \$300 a month, or about 61% of their entire profit margin — a real, meaningful sacrifice.

Under this model, that sacrifice earns them a property tax credit of roughly \$2,200 a year — sized specifically to how much they actually gave up, capped so the public never pays more than the landlord's own property tax bill, never more than \$3,500 per unit, and never more than 65% of what the tenant is actually saving.

Here is the key difference: instead of mailing that \$2,200 to the landlord as a check, it gets sent straight to their mortgage company as an extra payment toward the loan balance. The landlord's loan balance drops by \$2,200. Their monthly payment recalculates lower. Their new breakeven rent permanently drops to around \$2,097 a month — meaning next year, they do not need a new credit to keep charging \$2,300. The math already works.

What Happens If the Property Is Sold

A mortgage payoff happens at closing — so without something recorded against the property itself, this benefit would disappear the moment the home changes hands. To prevent that, the affordability commitment is recorded as a covenant on the property's deed, the same legal mechanism used for HOA rules or easements. A new buyer inherits the obligation to honor the remaining commitment.

If the new buyer chooses to extend the commitment on their own new mortgage, they become eligible for their own curtailment, sized the same way — using their own loan, their own margin, their own sacrifice. This is what allows a single unit to stay affordable across multiple owners instead of reverting to market rent the first time it sells.

Where the Tax Dollars Actually Go

Every recorded curtailment is tracked by county and district — not as a number disappearing into a general fund, but as a running total: how much mortgage debt was permanently extinguished, how many units stayed affordable, and how many lapsed back to market rent when an owner chose not to renew. This is the answer to the question every taxpayer reasonably asks: what did my participation actually produce?

Technical Reference — For Policy Implementation

Core Formula

Breakeven Monthly Rent = $(\text{Annual Mortgage P\&I} \div 12) + (\text{Annual Property Tax} \div 12) + (\text{Annual Insurance} \div 12) + (\text{Annual Maintenance Reserve} \div 12)$, all divided by number of units on the loan.

Margin Sacrifice Ratio = $(\text{Market Rent} - \text{Reduced Rent}) \div (\text{Market Rent} - \text{Breakeven Rent})$. This is the percentage of the landlord's real monthly profit they are giving up — the central variable that determines benefit sizing, replacing flat per-unit incentives that ignore a landlord's actual cost structure.

Sized Benefit (Property Tax Credit mechanism) = $\text{Annual Tenant Savings} \times \text{Margin Sacrifice Ratio} \times \text{Portfolio Adjustment Factor}$, capped at the smallest of: (a) the landlord's actual property tax bill $\times$ a maximum credit percentage, (b) a hard per-unit annual ceiling, (c) 65% of total annual tenant savings.

Portfolio-Size Adjustment

Properties Owned	Incentive Factor	Rationale
1 (sole rental)	100%	Full incentive — owner-occupant-adjacent landlords
2–4 properties	85%	Small landlord, modest scale
5–19 properties	60%	Mid-size operator
20+ properties	35%	Portfolio investor — incentive scaled down, not eliminated

Principal Curtailment Mechanics

The sized benefit is remitted directly to the landlord's mortgage servicer as a third-party principal-only payment — functionally identical to an unscheduled extra payment any borrower can already make. The loan is expected to re-amortize at the new, lower balance per standard servicer practice. A recertification step confirms the new payment schedule reflects the reduction before the benefit is counted as applied.

This mechanism is income-neutral: because it is a payment to a third party (the servicer) rather than a credit against income or a tax bill, it functions identically regardless of the landlord's income source — W-2 wages, Social Security, pension, or investment income all qualify equally. This directly addresses fixed-income and retired landlords, for whom an income-tax-deduction mechanism would be of little or no value.

Why Appraisal Requirements Matter Here

Reference rent verification requires an independent market rent comparable analysis (not a full fee appraisal) at program entry, to prevent a landlord from inflating their starting rent to overstate the size of their reduction.

Standard mortgage appraisal already occurs naturally at the point of any property sale, as a function of normal lender underwriting — the program does not add a new appraisal requirement here, but does require independent verification of market rent at the point of covenant renewal.

No appraisal is required simply to enter the basic Landlord rent-reduction or Principal Curtailment calculator — only a market rent comparable, which is a lower-cost, faster verification step appropriate for small landlords.

Anti-Gaming and Validation Requirements

- Landlord reports full rental income on Schedule E (or equivalent) — no unreported cash side payments
- Signed lease on file reflecting the reduced rent, dated by both parties
- Mortgage statement or county recorder data confirms loan balance and rate at time of curtailment
- Tenant certifies independently that they are paying the reduced rent shown
- No stacking with other public rent-reduction incentives for the same unit absent express permission
- Annual recertification required to keep any benefit active

Deed Covenant and Renewal Mechanism

A principal curtailment is permanent to the loan but does not survive a sale, since the loan is paid off at closing. To make the affordability commitment durable across ownership, it is recorded as a covenant against the property's deed — structurally identical to how HOA restrictions, easements, or other land-use covenants already run with the land under existing real property law.

A prospective buyer purchasing a covenant-restricted property is, by definition, buying a property with reduced income potential for the remaining term — which the market is expected to price accordingly, similar to a property sold subject to an existing below-market lease.

If the buyer elects to extend the covenant on their own new mortgage rather than letting it lapse at the original term's end, they become eligible for their own resized curtailment, calculated against their actual new loan terms. This creates a durable incentive to renew rather than revert to market rent — converting a one-time household-level transaction into a standing piece of community affordable housing stock.

Community / District Impact Layer

Every recorded curtailment is logged by county and district, tracking: total principal extinguished, total units under active covenant, units renewed at sale versus units that lapsed. This produces a concrete, auditable community-level metric in place of an abstract program budget total — directly answering the common public concern of "what did this program actually accomplish here."

A conceptual extension not yet operationalized: a small administrative share of program funds (separate from the curtailment itself, which is always directed to the participating loan) could be earmarked toward visible local capital projects — roads, schools, parks — in the same district where participation occurred, reinforcing the link between program participation and tangible community benefit.

Macroeconomic Rationale

Principal curtailment is structurally distinct from a cash rebate in its effect on the money supply. A rebate or refundable credit introduces new spendable cash into circulation — mildly stimulative, but also a contributor to demand-side inflationary pressure in some contexts. A principal paydown retires debt rather than creating spendable cash, more closely resembling targeted debt relief than fiscal stimulus, while permanently reducing the landlord's long-run cost structure — the structural fix that lets rent stay lower without requiring renewed subsidy every year.

Open Implementation Questions

- Statutory authority for a county or state housing agency to remit payments directly to a private mortgage servicer on a borrower's behalf
- Servicer-side operational capacity to accept and correctly apply third-party principal curtailment payments at program scale
- Legal mechanics and county recorder process for deed covenant recording, renewal, and release upon lapse
- Funding source for the underlying curtailment payments — appropriated budget, forgone property tax revenue, or a hybrid structure
- Coordination with existing programs (Section 8, LIHTC, inclusionary ordinances) to prevent unintended benefit stacking

This document describes an original policy model designed by Saul Garcia, AuditDNA Intelligence (MFGINC). It is a proposal for discussion and is not current law, regulation, or binding government policy in any state, county, or jurisdiction. All figures, formulas, and worked examples are illustrative. This is not legal, tax, financial, or real estate advice. Implementation would require review by county counsel, the relevant assessor's office, mortgage servicing partners, and applicable state housing finance agencies prior to adoption in any form.